Heritage Bank — Commercial Banking Team: Domain Context

Team Scope

The Commercial Banking Team owns the **SMB Business Portal** serving Heritage's 85,000 business banking clients. The team covers multi-user business account access, ACH payroll origination, commercial wire transfers (with dual authorization), and the transaction monitoring feed to NICE Actimize for AML compliance.

Team Personas

Persona	Description	Key Needs
SMB Owner	Primary business account holder; full access to all portal features	Multi-account dashboard, ACH payroll, wire initiation, add/manage users
SMB Authorized User — Viewer	Employee granted read-only access by the SMB Owner	Balance and transaction history; no payment initiation
SMB Authorized User — Initiator	Employee who can create and submit payments but not approve them	ACH batch creation, wire initiation; requires a separate Approver to release
SMB Authorized User — Approver	Employee who can approve and release payment batches initiated by others	Review and release ACH batches and wires; cannot be the same person as the Initiator on any transaction
Branch Manager	Heritage staff who manages the SMB relationship at branch level	Account opening authority; override holds; relationship-level dashboards
Compliance Officer	Monitors commercial account activity for BSA/AML	SAR filing, CTR generation, audit trail access

Key dual-authorization rule: On any single transaction, the Initiator and Approver must be **different individuals**. The portal must enforce this at the data layer — not just the UI.

SMB Account Types & Features

- **Business Checking / Business Savings**: multi-signatory; ACH origination enabled by default
- Multi-account dashboard: SMB Owner sees all business accounts in a single consolidated view
- Account statements: downloadable PDF; 24-month history online; older on request
- User management: SMB Owner can add employees as Viewer, Initiator, or Approver; roles are per-account, not per-portal (an employee can be Initiator on Account A and Viewer on Account B)

ACH Payroll & Batch Payments

- SMB businesses originate ACH payroll via **NACHA-format file upload** or a manual batch entry UI

- **ACH batch lifecycle**: Draft → Submitted → Awaiting Approval → Approved → Sent to FedACH → Settled / Returned
- **Dual authorization threshold**: ACH batches above $25,000 require Initiator + Approver; below $25,000 can be self-approved by the SMB Owner
- **Return handling**: ACH returns (R02 invalid account, R10 unauthorized, etc.) arrive at 10 AM or 2 PM CT via FedACH; displayed in the portal within 30 minutes of BIH processing; SMB is notified via email
- **Cut-off times**: same-day ACH (SDIE): 2:30 PM CT; next-day ACH: 8 PM CT — the portal enforces these cut-offs and marks late submissions as next-business-day

NACHA File Validation

- The portal validates NACHA files on upload before submitting to BIH: record count, hash total, company ID, effective date
- Validation errors are displayed inline with row-level detail (e.g., "Row 14: invalid routing number 021999999")
- Files passing validation are stored in S3; submitted to BIH which queues them for AS/400 ACH module during the appropriate window

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Wire Transfers (Commercial)

- SMB clients can initiate domestic (Fedwire) and international (SWIFT) wire transfers via the portal
- **Dual authorization**: all commercial wires (any amount) require a separate Approver; the Wire Desk reviews wires above $10,000 before release to Fedwire/SWIFT
- **Wire Desk review**: wires above $10,000 go into a Wire Desk queue; a Heritage wire operations specialist manually approves before release (typically within 2 hours for domestic, 4 hours for international)
- **Wire cutoffs**: domestic Fedwire: 5:00 PM CT; international SWIFT: 3:00 PM CT
- **Wire templates**: SMB Owners can save beneficiary details as named wire templates; prevents re-entry errors for recurring wires

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Fraud & AML (Commercial)

- **NICE Actimize** receives a real-time Kafka event stream of all commercial transactions (ACH, wire, RTP, internal transfer)
- Actimize flags suspicious activity and creates cases that Compliance Officers review in the Actimize workbench (separate from the Heritage portal)
- **CTR (Currency Transaction Reports)**: auto-generated for cash deposits or withdrawals ≥ $10,000 in a single day; submitted via FinCEN BSA E-Filing
- **SAR (Suspicious Activity Reports)**: Compliance Officer files SARs via the Actimize workbench; triggered by Actimize case + Compliance Officer approval
- **Velocity limits**: configurable per business account (e.g., max ACH credit $100,000/day; max single wire $500,000)

Business Rules Specific to Commercial

1. **Dual authorization is enforced at the Payment Service level** — an Initiator cannot approve their own transaction even if they hold both roles on different accounts; the system enforces by `userId` comparison, not role lookup
2. ACH file cut-off times are enforced by the Transfer Service (not AS/400); late submissions are rejected with a clear cut-off message

3. Commercial wires above **$10,000** always enter the Wire Desk review queue regardless of dual-auth status
4. NACHA file validation errors must be reported at the **row level** (not just "file invalid") so the SMB can correct specific rows
5. ACH returns must appear in the portal within **30 minutes** of BIH processing the FedACH return file
6. An SMB Authorized User with Initiator role can **never** also be the Approver on the same batch or wire — this is enforced server-side by `initiatedBy` ≠ `approvedBy` check before processing